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# Commercial, economic and joint venture aspects of oil and gas projects

With a special focus on Indonesia



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# Commercial, economic and joint venture aspects of oil and gas projects

## With a special focus on Indonesia

This intensive five-day course, “Commercial, economic and joint venture aspects of oil and gas projects with special focus on Indonesia,” provides a comprehensive overview of petroleum contracts, project economics, and fiscal regimes, with a particular emphasis on Indonesian production sharing and gross split contracts. Participants explore government regulation of upstream operations, allocation of oil and gas rights, and the detailed financial and fiscal mechanics of production sharing, corporate tax, royalties, and special resource payments, supported by hands-on Excel-based economic modelling.

The programme also examines joint venture structures and governance, key commercial terms and risk allocation in petroleum contracts, and how fiscal designs influence investment decisions, marginal fields, and maximum economic recovery. A dedicated module addresses energy transition issues, including greenhouse gas emissions, carbon pricing, CCUS, and low-carbon business models, culminating in a detailed discussion of Indonesia’s current contractual frameworks, bidding rounds, and the reforms needed to attract new investment and support decarbonisation. The course is led by Alex Kovshin, a highly experienced fiscal advisor, who has advised numerous governments, national oil companies, and investors worldwide on oil and gas fiscal policy and contract design.



LOCATION

Bali, Indonesia

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## Petroleum contracts and regulatory framework

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- § Government's regulations of oil and gas operations: regulatory, technical, economic
- § Allocation of oil and gas rights to investors: land rights and subsurface rights, nomination of acreage, bidding rounds and open-door policies
- –Overview, advantages and disadvantages of approaches
- § Overlapping rights: unitisation
- –Overview of the process, advantages and disadvantages of approaches
- § Petroleum contracts used by governments:
- –Concessions, production sharing and service contracts
- –Rational for production sharing contracts for a state
- –How production sharing contracts are different from concessions and risk-service contracts
- –Advantages and disadvantages of production sharing from investor's and state's perspectives
- § Styles of contract's design: less or more detailed provisions
- –Advantages and disadvantages
- § Provisions of petroleum contracts and other legislation: interactions options and issues for investors

## Project's economics

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- § Technical aspects of oil and gas projects impacting a projects' economics
- –Upstream project's lifecycle
- –Exploration outcomes, geologic and market factors
- –Properties of oil and gas: quality aspects, production streams and by-products, infrastructure aspects, logistics
- –Phases of a field's development (primary, secondary and tertiary)
- § Marginal oil and gas projects
- § Investor's decision process for investing in an oil and gas project: geology, fiscal terms, legal and regulatory terms
- Financial and economic metrics used by investors to evaluate oil and gas projects (NPV and discount rate, WACC and IRR, EMV, maximum exposure, payout, breakeven price, netbacks, others)
- Reserves
- –Resources and reserves
- –Reserves and production sharing contracts, gross split contracts
- –Reserves and oil and gas prices
- § Financing of upstream projects: exploration, post-exploration (reserve-based financing, farmouts, other)
- § Petroleum fiscal terms
- –Nature and scope of upstream fiscal payments
- –Project's value and fiscal terms

# Financial and fiscal aspects of petroleum contracts

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## Production sharing

- Mechanics of production sharing, annual work programme cycles and approval processes
- Profit petroleum fixed and sliding scales
- Ring-fencing and consolidation for cost recovery
- Fixed and sliding scales cost limits
- Recoverable and non-recoverable costs
- Depreciation for cost recovery
- Decommissioning expenditure
- Uplifts, credits
- Interest, excess cost petroleum
- Cost recovery and low oil and gas prices: issues
- Terms for natural gas and natural gas liquids
- Interaction with other fiscal payments
- Decarbonisation expenditure: issues
- Valuation provisions
- Accounting procedures
- Audits
- Lifting of production
- Entitlement production
- Analysis of production sharing and project's economics in Excel economic model

## Corporate tax

- Consolidation and ring-fencing
- Revenue: lifting, market price controls
- Depreciation: overview of depreciation rules (start of depreciation, methods, depreciation rates for typical categories of expenditure)
- Deduction rules for: operating costs, foreign overheads, interest, decommissioning, decarbonisation expenditure, expenditure for integrated low-carbon applications
- Capex vs opex and capital allocation decisions
- Uplifts and credits
- Loss carry forward and carry back
- Analysis of corporate tax and project's economics in Excel economic model

Royalties (rates, differentiation of rates, calculation rules)

Gross split contracts

–Overview, advantages and disadvantages

–Indonesian contracts, other countries

Bonuses, acreage fees, training and other payments

Special resource payments (windfall, additional taxes, R-factors, IRR-based calculations)

Payments on subcontractors

Domestic market obligations

Local content requirements

Environmental fees, methane emissions fees and carbon taxes

## Commercial aspects of petroleum contracts

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- Investors' commercial objectives in an upstream projects
- –Key pillars and concerns
- Major project risks and mitigation
- Commercial terms in petroleum contracts
- –Important non-fiscal provisions in petroleum contracts, in particular in production sharing contracts
- Contract duration and renewals: strategies and issues

## Joint ventures

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- § Reasons for joint ventures: commercial, technical and regulatory
- § Structures of joint ventures: incorporated and unincorporated JVs (joint operating agreement, JOA)
- § JOA and petroleum contracts
- § Mechanics of joint ventures: operatorship and non-operators, interaction and project management
- § Joint venture governance: decisions and voting, disputes and resolution mechanisms, reporting, audits
- § Working interest of JV partners: carried interest and full-working interest
- § Joint and sole-risk operations: mechanics, consequences and typical premiums, cost recovery matters
- § Lifting arrangements
- § Accounting, cost allocation rules, revenue allocation
- § Joint venture accounting and production sharing cost recovery rules
- § Financing and payments
- § Emissions allocations
- § Booking of reserves
- § Mandatory state participation: issues, procedures, carried and non-refundable obligations for the state, economic issues for JV partners
- § Farm-ins and farm-outs: procedures, considerations and issues, key terms of a sale-purchase agreement
- § Commercial considerations for the choice of partners in a JV
- § When things go wrong: case studies
- § Joint ventures and carbon storage projects

## Economic and commercial analysis of contractual terms

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- How governments set the level of government take: pre-determined and market-based approaches
- Fiscal stability: various designs and issues; fiscal stability and carbon pricing
- Force majeure and fiscal payments
- Fiscal terms and changes in production, prices and costs
- Geology and fiscal terms: promotion of exploration
- Cost-saving incentives and designs
- Maximum economic recovery: incremental production, early cut-off, promotion of EOR for late-life production,
- Marginal fields development, natural gas development, unconventional oil and gas
- Timing of payments and project's economics
- Incentives and differentiation of fiscal terms
  - –Fiscal differentiation
  - –Incentives: economic substance of incentives, general and performance-based incentive
- Changing fiscal terms and contract reopeners
  - –Longevity of fiscal terms and risks of changes
  - –Strategies and issues
  - –Robust fiscal designs to attract investments
- Fiscal terms and commercial decisions
  - –What fiscal terms indicate about a jurisdiction
  - –Companies' perspectives: if any of the fiscal provisions are negotiable, how to maximise a project's value
- Petroleum contract management

## Energy transition and oil and gas projects

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- Key developments and impact on oil and gas business
- Greenhouse gas emissions
  - –Scope 1, 2 and 3 emissions for upstream and downstream
  - –Methane emissions and gas flaring
  - –LNG and emissions
  - –Emission intensity of operations
  - –Case studies
- Carbon pricing and low-carbon regulations
  - –Cap-and-trade, baseline-and-credit
  - –Border adjustments
  - – Impact on oil and gas companies: case studies
  - – Discussion of the carbon pricing developments in Indonesia
- Carbon capture, utilisation and storage (CCUS)
  - – Overview of CCUS: value chain (integrated projects, storage hubs, service models), monetisation options, markets and costs
  - – Fiscal issues with deployment of capture and storage on upstream assets
  - – Decommissioning and post-closure monitoring
  - – Regulatory framework
  - – Fiscal incentives and support measures for upstream projects
  - – Natural gas and CCS
  - – Oil and gas fields and infrastructure and CCS
  - – Discussion of the CCUS framework in Indonesia
- Low-carbon businesses of oil and gas companies
  - –Renewable energy: standalone, upstream
  - –Hydrogen (green, geologic)
  - –Lithium, geothermal, other
  - –CCS: standalone, upstream
  - –Case studies

# Detailed discussion of the Indonesian contracts

- Overview of the economic models (in Excel) for the Indonesian Production Sharing contracts and Gross Split contracts
- Benchmarking of the fiscal terms in Indonesia against other jurisdictions
- Detailed economic analysis of Production Sharing contracts and Gross Split Contracts in Indonesia
- Detailed discussion of the latest bidding rounds in Indonesia
- What other countries are doing to increase new production and incremental production from mature fields
- Energy transition readiness of the Indonesian contracts
- Improvements required to attract more investments in exploration and increase production

## Contact us



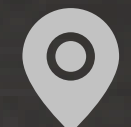
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